

## THE THESIS IN ONE LINE

*Batteries (ATL) are 55% of sales; MLCC is a minor line inside passives*

## ▲ BULL — why it could be worth it

- 1Q OP ¥86bn (+53%) [ATTRIBUTED]
- EV / 4y-mean EBITDA ~14x: cheapest of the set [EST]
- Taiyo Yuden alliance could consolidate #3-4 [ATTRIBUTED]

## ▼ BEAR — why it might not

- MLCC share of group revenue small; capacitors ¥257bn [FACT]
- Guide left unchanged despite the beat [ATTRIBUTED]
- Battery cycle, not MLCC cycle, drives the stock [EST]

## THE SINGLE DRIVER TO WATCH

ATL battery margins, not MLCC.

## VALUATION

Fwd P/E 22.8x; EV/EBITDA 11.6x; consensus TP ¥4,158 (+30%).

## ENTRY / LEVELS

Out of scope for the MLCC cycle trade.

## WHAT WOULD FLIP THE CALL

An MLCC merger with Taiyo Yuden would make it relevant.